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A country is not a company

Before 1991, most firms in India were managed poorly. We now have a large number of extremely well-run firms in India. The key persons in these firms are legitimately proud of their ability to run large complex organizations. Alongside this, we see the shambolic Indian state, which is unable to get the basics right. Can management skills and techniques carry over from the Indian private sector into government? Unfortunately, the skill and rhythm that is required in the public policy landscape is different from what works in for-profit firms.

Government lacks feedback loops

All big private firms are listed for trading on the stock market and see a stock price. The vast machinery of speculation in financial markets produces a real-time measure of the performance of the firm. Internally, private firms see operational management information system (MIS) statements that are updated daily. Revenue and profit are simple tools to distil the working of the firm down into a numerical yardstick.

Are there comparable measures which can be used in public policy? Is GDP growth a good measure of how the government is faring? Later in this book, we show concerns about chasing the yardstick of GDP growth. In any case, in India, we are at the early stages of learning how to measure GDP.

Is the performance of Nifty a good measure of how the government is faring? The movements of the stock market index express *surprises* in the